

3.3.4 The Labour Market

The Demand for Labour, Marginal Productivity Theory

Candidates should understand that the demand for a factor is derived from the demand for the product and that it will be influenced by the productivity of the factor.

Influences upon the Supply of Labour to Different Markets

Candidates should understand that the supply of labour to a particular occupation is influenced by monetary and non-monetary considerations. Non-monetary considerations include job satisfaction and dissatisfaction and the economic welfare derived from leisure time.

The Determination of Relative Wage Rates and Levels of Employment in Perfectly Competitive Labour Markets

Candidates should understand the economists' model of wage determination in perfectly competitive labour markets and be able to assess the role of market forces in determining relative wage rates.

Note: candidates should be aware that perfect competition, in both goods or product markets and labour markets, provides a yardstick for judging the extent to which real world markets perform efficiently or inefficiently, and the extent to which a misallocation of resources occurs. Candidates should appreciate that all, or almost all, real world markets are imperfectly competitive to a greater or lesser extent.

The Determination of Relative Wage Rates and Levels of Employment in Imperfectly Competitive Labour Markets

Candidates should understand how various factors such as monopsony power, trade unions and imperfect information contribute to labour market imperfection. They should appreciate how, in a monopsony labour market, the employer can use market power to reduce both the relative wage rate and the level of employment below those that would exist in a perfectly competitive labour market.

The Influence of Trade Unions in Determining Wages and Levels of Employment

Candidates should understand the various factors that affect the ability of trade unions to influence wages and levels of employment in different labour markets. They should appreciate that the effect on employment may differ following the introduction of a trade union into a previously perfectly competitive labour market and into a monopsony labour market. The use of relevant diagrams is expected.

The Impact of a National Minimum Wage Rate

Candidates should understand the effect of a national minimum wage upon labour markets.

Discrimination in the Labour Market

Candidates should understand the conditions necessary for wage discrimination and be able to assess the advantages and disadvantages of such policies. Real world examples should be used to illustrate wage discrimination.

Candidates should be able to discuss the impact of gender, ethnic and other forms of discrimination on wages, levels and types of employment.

The Distribution of Income and Wealth

Knowledge of the distribution of household income and wealth in the United Kingdom is expected. Candidates should understand the various factors which influence the distribution of income and wealth and the possible costs and benefits of more equal and more unequal distributions.
